

TCS — Tata Consultancy Services Ltd

Sector: Information Technology | Sub-sector: IT Services

Tata Consultancy Services is the flagship company and a part of Tata group. It is an IT services, consulting and business solutions organization that has been partnering with many of the world's largest businesses in their transformation journeys for over 50 years. TCS offers a consulting-led, cognitive powered, integrated portfolio of business, technology and engineering services and solutions.

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
50.9%	60.2%	19.1%	0.09	50,429	10.5%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	94,648	20,060	39.6	44.5	17,562
2016-03	108,646	24,338	34.2	40.4	14,099
2017-03	117,966	26,357	30.6	35.1	8,328
2018-03	123,104	25,880	30.4	35.7	28,171
2019-03	146,463	31,562	35.3	41.8	30,238
2020-03	156,949	32,447	38.6	41.8	41,337
2021-03	164,177	32,562	37.7	45.1	30,846
2022-03	191,754	38,449	43.1	50.0	39,211
2023-03	225,458	42,303	46.8	55.3	42,513
2024-03	240,893	46,099	50.9	60.2	50,429

Financial health score: 61.7 | Band: Moderate

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	86,433	7,795	129,992	129,992
2022-03	89,139	7,818	140,924	140,924
2023-03	90,424	7,688	142,859	142,859
2024-03	90,489	8,021	145,472	145,472
2024-09	101,495	9,046	161,124	161,124

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	32,369	8,968	-39,915	1,422
2021-03	38,802	-7,956	-32,634	-1,788
2022-03	39,949	-738	-33,581	5,630
2023-03	41,965	548	-47,878	-5,365
2024-03	44,338	6,091	-48,536	1,893

Capital allocation: **Asset Monetiser**

CFO quality score: 50 | CapEx intensity: 2.5% | FCF conversion: 78.4%

Pros

ROE above 20% in the latest available year.; Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Interest coverage exceeds 5x.

Cons

No configured risk threshold was triggered; review the underlying KPIs.

